



DELHI PUBLIC SCHOOL NEWTOWN
SESSION 2025-26
PRE BOARD EXAMINATION

CLASS: X

FULL MARKS: 80

SUBJECT: COMMERCIAL STUDIES (SET - A)

TIME: 2 HOURS

Attempt all questions from Section A and any four from Section B.
The intended marks for questions or parts of questions are given in brackets []
This paper consists of five printed pages.

SECTION A

(Attempt all questions from this Section.)

Question 1

[16]

Choose the correct answers to the questions from the given options.

(Do not copy the question, write the correct answer only.)

- (i) **Assertion (A): Capital expenditure increases the earning capacity of the business.**
Reason (R): Capital expenditure is incurred for day-to-day conduct of the business.
- (a) A is true, and R is the correct explanation of A.
(b) A is true, and R is not the correct explanation of A.
(c) A is true, but R is false.
(d) A is false, but R is true.
- (ii) **Which of the following correctly defines the concept of marketing?**
- (a) Selling at a profit
(b) Exchange of goods for money only
(c) Identifying customer needs and satisfying them profitably
(d) Promoting through advertisements
- (iii) **Which pricing objective is directly aimed at defeating rivals?**
- (a) Customer satisfaction (c) Market share
(b) Target rate of Return (d) Competitive pricing
- (iv) **Heavy advertisement costs spread over 4 years is an example of:**
- (a) Revenue Expenditure (c) Capital Expenditure
(b) Deferred Revenue Expenditure (d) Capital Receipt
- (v) **Under which right will Mr. Mohit get a compensation for a faulty product?**
- (a) Right to seek redressal (c) Right to information
(b) Right to consumer education (d) Right to choose
- (vi) **Faking accidents, faking death, concealing information for health care are examples of _____ fraud.**
- (a) Insurance
(b) False Accounting
(c) Credit Card
(d) Internet and Cyber

- (vii) With regards to a Balance Sheet, identify which of the following statements are true:
I: It is made on a particular date.
II: It calculates the Net Profit or Net Loss.
III. It is a statement of Assets and Liabilities.
IV. Debit side records expenses and credit side records income.
- (a) I and II are true. (c) II and III are true.
 (b) I and III are true. (d) II and IV are true.
- (viii) A company wants to raise capital without giving away voting rights to new investors. Which type of shares should it issue?
- (a) Equity Shares (c) Preference Shares
 (b) Debentures (d) Bank Overdraft
- (ix) The image shows a promotional scheme introduced by a new juice brand during the summer season. This is an example of:



- (a) Coupon (c) Premium Offer
 (b) Trading Stamp (d) Merchandising Aids
- (x) Provident Fund and Pension to employees are form of:
- (a) Incentive (c) Recruitment
 (b) Budgetary Control (d) Social Security
- (xi) A bonded warehouse is used for storing:
- (a) Domestic goods (c) Goods awaiting customs clearance
 (b) Perishable goods only (d) Farmer's excess production
- (xii) Imagine you are an accountant of Shah & Company. You have to pass an entry of interest received by the company. What will be the accounting treatment?
- (a) Asset side of balance sheet (c) Credit side of trading a/c
 (b) Liability side of balance sheet (d) Credit side of profit and loss a/c
- (xiii) The following picture is an example of which activity -



- (a) Sales promotion (c) Marketing
 (b) Selling (d) Social advertising

- (xiv) The CPCB's main function is:
- | | |
|--------------------------------------|-----------------------------------|
| (a) Collecting taxes from industries | (c) Issuing currency |
| (b) Monitoring air and water quality | (d) Promoting international trade |
- (xv) Assertion (A): Advertisement is an important means for facing competition.
Reason (R): By creating brand loyalty, advertising helps to maintain sales and market share.
- (a) Both (A) and (R) are correct and (R) is the right explanation of (A).
(b) Both (A) and (R) are correct but (R) is not the right explanation of (A).
(c) (A) is correct but (R) is incorrect.
(d) Both (A) and (R) are incorrect.
- (xvi) Due to excess staff in the Delhi office, a clerk is posted to the Lucknow office to perform the same duties as before. This action of company is called:
- | | |
|---------------|-----------------|
| (a) Promotion | (c) Transfer |
| (b) Demotion | (d) Recruitment |

Question 2

Write any two differences between:

- | | |
|---|-----|
| (i) Capital Expenditure and Revenue Expenditure | [2] |
| (ii) Advertising and Sales Promotion | [2] |
| (iii) Credit Card and Debit Card | [2] |
| (iv) Preference shares and Equity shares | [2] |

Question 3

- (i) Define social security with an example. [2]
- (ii) A new start-up launches an extensive advertising campaign to promote its snacks brand. While it gains quick visibility, customers later complain that the product quality does not match the promises shown in the ads.
From the above situation, explain any two possible drawbacks of advertising that this start-up is facing. [2]
- (iii) What is meant by Pricing? [2]
- (iv) A company fails to provide timely financial compensation to its workforce. Which stakeholder's expectation is being violated? Explain. [2]

Question 4

- (i) Define Intellectual property fraud. Give one example. [2]
- (ii) An industry dumps chemical waste in rivers. Which Act is violated?
State any one Feature of the Act. [2]
- (iii) A cloth merchant needs to deliver small consignments to different shops within the same city. Which mode of transport is suitable in this case?
Explain one advantage of using it. [2]
- (iv) What is Semi-Variable cost? Give one example. [2]

SECTION B

(Attempt any four questions from this Section)

Question 5

- (i) A customer purchases a sealed packet of rice from a well-known brand. On cooking it, the family discovers that the rice contains small stones and impurities, making it unfit for consumption. Identify and explain the type of consumer exploitation shown in this case. Also, state three consumer rights under the Consumer Protection Act, 2019 that are violated or can be exercised by the consumer. [5]
- (ii) Ritika applies for a managerial position in a reputed company. She has successfully gone through the preliminary interview, filled the application blank, cleared the selection test, and performed well in the final interview. The HR manager informs her that several more formal steps are still required before she can be officially appointed. As an HR consultant, identify and explain the remaining steps of the selection process that Ritika will now have to undergo. [5]

Question 6

- (i) A customer's Debit Card is cloned, and fraudulent transactions are made. Explain five safety measures he should take while using cards. [5]
- (ii) A large industrial company has recently reported record profits. However, nearby residents complain of smoke and waste released from its factory, while regulatory bodies have raised concerns about the company focusing only on profits and neglecting wider responsibilities. Identify the stakeholders involved in this situation and explain any four expectations they might have from the company. [5]

Question 7

- (i) State and explain five utilities of budgeting in business. [5]
- (ii) Explain any five functions of the Central Bank of India. [5]

Question 8

- (i) (a) Mr. Rajesh purchased a health insurance policy worth ₹2,00,000 but failed to disclose his habit of excessive drinking at the time of taking the policy. After three years, he was hospitalized due to a severe liver ailment. On investigation, it was discovered that he had been a heavy drinker for several years.
1. Will he be able to claim the health insurance amount? Give reason. [2]
2. Identify the principle of insurance involved in this case. [1]
- (b) Write a short note on Debentures. [2]
- (ii) Give five points of differences between shares and debentures on the basis of:
- a) ownership b) return c) risk d) voting rights e) repayment. [5]

Question 9

- (i) ERP integrates all departments of an enterprise into a single system. Explain this statement with any five suitable modules. [5]
- (ii) Write short notes on:
- a) Life insurance b) NEFT. [5]

Question 10**[10]**

From the following Trial Balance, prepare a Trading Account, Profit and Loss Account and Balance Sheet of Mr.A for the year ending on 31st March, 2025.

Particulars	Dr (₹)	Particulars	Cr (₹)
Drawings	4,000	Capital	80,000
Cash at Bank	4,700	Sales	1,15,000
Purchase	66,000	Purchases Returns	3,000
Returns Inwards	6,000	Creditors	30,000
Discount	1,200	Commission received	900
Carriage Outwards	1,800	Loan	43,200
Salaries	18,000		
Trade Expenses	3,600		
Opening Stock	15,000		
Bad Debts	1,800		
Rent	4,500		
Machinery	1,08,000		
Furniture	18,000		
Debtors	12,000		
Stationery	7,500		
Total	2,72,100	Total	2,72,100

Closing stock on 31st March, 2025 was valued at ₹ 78,000.